Table of Contents

Reconciliation between the U.S. Federal statutory income tax rate and our effective rate for income tax is as follows:

	Fiscal Year Ended March 31,		
	2017	2018	2019
U.S. Federal statutory rate	35.0%	31.5%	21.0%
Increase (decrease) in tax rate resulting from:			
State income taxes, net of federal benefit	0.5	0.8	0.5
Effect of foreign operations	(8.3)	(7.1)	(1.1)
Change in valuation allowance	(5.0)	0.0	0.3
FDII Provision	0.0	0.0	(1.4)
Deemed dividends from subsidiaries	6.3	7.3	2.9
Deduction for domestic production activities	(1.7)	(1.2)	0.0
Utilization of foreign tax credits	(3.9)	(4.0)	(3.3)
US and Foreign Tax Reform	0.0	66.7	(1.6)
Change in uncertain tax positions	(0.8)	0.2	(0.2)
Adjustment made by taxing authorities	3.3	0.0	0.1
Adjustment of prior year balances	1.7	1.4	0.6
Other, net	1.0	1.8	0.6
Effective tax rate	28.1%	97.4%	18.4%

The following table presents the approximate amount of federal, foreign and state operating loss carryforwards and federal tax credit carryforwards available to reduce future taxable income, along with the respective range of years that the operating loss and tax credit carryforwards would expired if not utilized:

	March 31, 2019	Beginning expiration year	Ending expiration year
Federal operating loss carryforwards	$ 14,440	2026	2036
Federal operating loss carryforwards	11,895	No Exp	No Exp
Foreign operating loss carryforwards	178,784	No Exp	No Exp
Foreign operating loss carryforwards	25,792	2020	2039
State operating loss carryforwards	3,279	2022	2039
Federal tax credit carryforwards	17,373	2039	2039
Foreign tax credit carryforward	4,187	2023	2029
State tax credit carryforward	8,086	2020	2029

At March 31, 2019, certain of our U.S. and foreign subsidiaries in Brazil, France, Germany, Israel, Japan, Mexico and Korea had tax operating loss and tax credit carry forwards totaling approximately $263,836. There is a greater likelihood of not realizing the future tax benefits of these net operating losses and other deductible temporary differences in Brazil, Israel, China, and Korea since these losses and other deductible temporary differences must be used to offset future taxable income of those subsidiaries, which cannot be assured, and are not available to offset taxable income of other subsidiaries located in those countries. Accordingly, we have recorded valuation allowances related to the net deferred tax assets in these jurisdictions. Valuation allowances decreased $(12,101), and increased $317 and $6,812 during the years ended March 31, 2017, 2018, and 2019, respectively, as a result of changes in the net operating losses of the subsidiaries or as a result of changes in foreign currency exchange rates in the countries mentioned above.

The decrease in valuation allowance during the year ended March 31, 2017 was also due to the reversal of valuation allowances of $5,530 related to the future utilization of NOLs totaling $15,878 at a Japanese subsidiary. The related tax benefits upon utilization of the Japanese NOLs expire eight years after they are generated, and they are not subject to annual utilization limitations. The realization of tax benefits due to the utilization of these NOLs could take an extended period of time to realize and are dependent upon the Japanese subsidiary's continuing profitability, and some could expire prior to utilization. The increase in valuation allowance during the year ended March 31, 2019, was due to the addition of valuation allowances of $3,124 related to the Ethertronics acquisition and $1,763 related to capital and section 1231 losses at AVX Corporation.

Income taxes paid totaled $55,642, $66,354 and $75,640 during the years ended March 31, 2017, 2018 and 2019, respectively.

We do not expect that the balances with respect to our uncertain tax positions will significantly increase or decrease within the next 12 months. For our more significant locations, we are subject to income tax examinations for the tax years 2014 and forward in the United States, 2014 and forward in Germany, 2013 and forward in Hong Kong, and 2013 and forward in the United Kingdom.

A reconciliation of the beginning and ending balance for liabilities associated with uncertain tax positions is as follows:

Balance at March 31, 2016	$ 3,399
Reductions for tax positions of prior years	(89)
Reductions due to expiration of statutory periods	(895)
Reductions due to settlements with taxing authorities	(478)
Balance at March 31, 2017	$ 1,937
Additions for tax positions of prior years	948
Additions for tax positions in current period	642
Reductions due to settlements with taxing authorities	(317)
Balance at March 31, 2018	$ 3,210
Additions for tax positions in current period	155
Reductions due to expiration of statutory periods	(870)
Reductions for tax positions of prior years	(539)
Balance at March 31, 2019	$ 1,956

We recognize interest and penalties related to uncertain tax positions in interest expense. As of March 31, 2018 and 2019, we had accrued interest related to uncertain tax positions of $470 and $340, respectively. During the years ended March 31, 2018 and 2019, we recognized a $71 increase in interest expense mainly due to the Ethertronics acquisition and a $(130) reduction in interest expense mainly due to the expirations of statutory periods, respectively.